Practice workbook · Partnership statement of financial position

Laying out a partnership's statement of financial position with each partner's capital and current account balances in equity.

3 question parts: 1 worked-example retry and 2 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-PIR-06

1. Question 2 · part b · 15 marks

2025 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part b only.

2 Victoria and Albert are in partnership, sharing profits and losses equally. Their partnership agreement also provides for interest on capital and interest on drawings at 5% per annum, a salary for Victoria of $1 000 per month and no interest on partnership loans.

On 30 April 2025, they provided the following trial balance after the preparation of the income statement for the year.

Victoria and Albert
Trial Balance at 30 April 2025

	Debit $	Credit $
Allowance for doubtful debts		500
Bank		10 570
Capital accounts at 1 May 2024		
– Victoria		50 000
– Albert		30 000
Closing inventory	14 320	
Current accounts at 1 May 2024		
– Victoria		3 500
– Albert	2 300	
Drawings		
– Victoria	1 800	
– Albert	1 200	
Fixtures and fittings		
– Cost	50 000	
– Provision for depreciation		10 000
Land and buildings (valuation)	100 000	
Motor vehicles		
– Cost	30 000	
– Provision for depreciation		15 000
Other receivables and other payables	350	650
Partnership loan – Albert (repayable December 2025)		8 000
Petty cash	250	
Profit for the year		80 000
Trade receivables and trade payables	20 000	12 000
	220 220	220 220

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1. Question 2 · part b · 15 marks

2025 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part b only.

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(a) Prepare the appropriation account for the year ended 30 April 2025.

(5)

Victoria and Albert
Appropriation Account for the year ended 30 April 2025

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1. Question 2 · part b · 15 marks

2025 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part b only.

(b) Prepare the statement of financial position at 30 April 2025.

(15)

Victoria and Albert
Statement of Financial Position at 30 April 2025

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1. Question 2 · part b · 15 marks

2025 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part b only.

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1. Question 2 · part b · 15 marks

2025 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part b only.

Victoria and Albert are considering inviting Anne to join the partnership and changing their business structure to a limited liability partnership (LLP).

(c) (i) Explain **one** advantage to the partnership of forming a limited liability partnership.

(2)

(ii) Explain **one** reason why the partnership should account for goodwill when a new partner joins an existing partnership.

(3)

(Total for Question 2 = 25 marks)

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1. Question 2 · part b · 15 marks · Working and answer

Working and answer

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2. Question 1 · part c · 14 marks

2020 NOV · Paper 02

Further practice · Attempt part c only.

1 Muneeb and Javeed are in partnership sharing profits and losses in the ratio of 2:1.

The partnership agreement provides for:

- interest on capital at 10% per annum
- an annual salary of $12 000 for Muneeb.

The partners provided the following information for the year ended 31 March 2020.

1 April 2019	**$**
Capital account Muneeb Javeed	 100 000 50 000
Current account Muneeb Javeed	 5 750 Dr 2 800
31 March 2020	
Allowance for irrecoverable debts	3 000
Cash and cash equivalents	1 145
Inventory	46 475
Other payables	600
Other receivables	1 040
Non-current assets – carrying value	100 000
Trade payables	25 850
Trade receivables	34 590
Drawings for the year Muneeb Javeed	 42 500 28 750

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2. Question 1 · part c · 14 marks

2020 NOV · Paper 02

Further practice · Attempt part c only.

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(a) Prepare the appropriation account for the year ended 31 March 2020.

(5)

Muneeb and Javeed
Appropriation account for the year ended 31 March 2020

	$	$
Profit for the year		**78 000**

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(b) Prepare the current account of Muneeb for the year ended 31 March 2020. Balance the account on that date and bring the balance down on 1 April 2020.

(6)

Current Account – Muneeb

Date	Details	$	Date	Details	$

2. Question 1 · part c · 14 marks

2020 NOV · Paper 02

Further practice · Attempt part c only.

The balance on Javeed's current account at 31 March 2020 was $3 950 **debit**.

(c) Prepare the statement of financial position at 31 March 2020.

(14)

Muneeb and Javeed
Statement of financial position at 31 March 2020

	$	$	$
Assets			
Non-current assets			
Current assets			
Total assets			
Equity and liabilities			
Equity	Muneeb	Javeed	
Total equity			
Current liabilities			
Total equity and liabilities			

(Total for Question 1 = 25 marks)

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2. Question 1 · part c · 14 marks · Working and answer

Working and answer

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3. Question 1 · part b · 12 marks

2023 JAN · Paper 02

Further practice · Attempt part b only.

1 (a) State, indicating with a tick (✓), where each item will be shown in the financial statements of a manufacturer.

(6)

	Manufacturing account		Income statement	
	Prime cost	**Factory overheads**	**Income**	**Expenditure**
Wages – production staff				
Wages – office staff				
Wages – factory supervisor				
Carriage outwards				
Decrease in provision for irrecoverable debts				
Royalties paid				

Bella and Chand are in partnership sharing profits and losses equally. They provided the following information at 30 September 2022.

	$
Capital Accounts	
Bella	50 000
Chand	50 000
Current Accounts	
Bella	10 500
Chand	3 450
Property, plant and equipment	
Cost	65 000
Provision for depreciation	18 050
Provision for irrecoverable debts	380
Bank	4 775
Inventory	38 800
Other payables	430
Petty cash	125
Trade payables	3 490
Trade receivables	27 600

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3. Question 1 · part b · 12 marks

2023 JAN · Paper 02

Further practice · Attempt part b only.

(b) Prepare the statement of financial position at 30 September 2022.

(12)

Bella and Chand
Statement of financial position at 30 September 2022

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3. Question 1 · part b · 12 marks

2023 JAN · Paper 02

Further practice · Attempt part b only.

(c) (i) State the formula for **each** ratio.

(2)

Ratio	Formula	2021	2022
Profit for the year as a percentage of revenue		15%	18%
Return on capital employed		7%	5%

(ii) Evaluate the change in profitability from 2021 to 2022.

(5)

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(Total for Question 1 = 25 marks)

3. Question 1 · part b · 12 marks · Working and answer

Working and answer

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